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Company case

Telenor Health and Tonic digital health services Ilma Nur Chowdhury, Alliance Manchester Business School, The University of Manchester



'There is great opportunity in the digital health space. In a country where almost everyone carries one, a mobile phone can be a powerful weapon to help solve problems and make an impact on millions': Sajidur Rahman, CEO of Telenor Health comments on the positive outlook for Tonic in Bangladesh. Tonic is one of Asia's first mobile-based health and wellness services brands, providing a range of digital services from information to a healthcare helpline and medically related financial benefits. Telenor Health launched its flagship brand, Tonic, in 2016 through Telenor's Group's mobile operator Grameenphone (GP), which is the market leader in Bangladesh.

As an emerging market, Bangladesh faces several challenges in healthcare provision. It is the world's eighth largest country with a population of 167 million people, yet there are about 0.4 doctors per 1,000 people and the World Health Organization

estimates that 60 per cent of national healthcare spend is not covered by insurance. In addition, over 60 per cent of the population abide in rural areas, which are not easily accessible. However, with mobile penetration at over 51 per cent, which is above the Asian average, and mobile internet penetration at 33 per cent, Telenor Health believe that mobile access can transform healthcare services in Bangladesh.

The Tonic brand

Tonic's brand mission is an extension of Telenor Group. Its promise to consumers is that 'we are there for you, to help you and your family live longer, healthier lives'. By combining prevention-focused digital content, phone-based access to primary care and tools to finance hospital care, Tonic wants to differentiate itself from competitors by serving as the gateway

toward Universal Health Coverage (UHC) and help customers and their families make better choices across their entire health journey. The key focus of Tonic's digital content is the prevention of non-communicable diseases (NCDs) such as heart and lung diseases, cancers and diabetes.

Grameenphone's 56 million mobile phone subscribers can join Tonic for free via a short code, online at www.mytonic.com or using their mobile app, by calling GP or at any GP retailer. To continue membership for the next month, a customer needs to use his/her GP SIM for a chargeable phone call, SMS or data pack. Tonic is designed in such a way that people with low-end feature phones can access it and smartphones are not necessary, except for their app-based consultation service, which happens via instant messaging.

By the beginning of 2018, around 5 million customers had subscribed to Tonic's free services, such as health information and cash coverage. Sajidur describes Tonic's business model as a unique one: 'Globally, you will see companies that are focusing on health content; there are digital health insurance companies and there are companies that provide on-demand doctors solutions, focusing on health consultation. I think we are probably the only company which is trying to do all these things together.'

Between 2017 and 2018, Tonic delivered about 300,000 consultation services to customers who would have no access to such services otherwise. The duration of people engaging in Tonic health consultation over the phone has also risen and it is estimated that 40 per cent are returning customers. To promote Tonic services, Telenor Health has leveraged television, radio, press and digital channels to create customer pull accompanied by retail push across GP customer care centres, GP express retailers and mobile top-up vendors.

Tonic services: safe, patient-centred and accessible

Tonic caters to customers in four key areas:

1. *Tonic Jibon* ('life') is one of the first Bengali-language services to provide information on health and illness, suggestions for positive health change and editorial-style content, all of which are verified by doctors. Content is accessible through the web (www.mytonic.com), mobile short message service (SMS) and Tonic's Facebook page.
2. *Tonic Doctor* enables members to access immediate medical advice on basic health topics via a 24-7 helpline at an affordable call rate of BDT 5 (\$0.06) per minute plus taxes. This service is designed to decrease the healthcare burden on the brick and mortar system and enables members to get basic diagnosis even if they live far from a doctor or need information out of hours. Customers can also message doctors online and a video option may be added in future. The process for service delivery is as follows: when a patient has an ailment such as a headache and calls Tonic's helpline, Tonic's call centre doctor asks specific

questions and based on the patient's answers, the doctor follows a decision tree and provides solutions. Simultaneously Tonic's back-end service system collects data about patients and maintains a record of such consultations. When a customer calls for a second consultation, any Tonic doctor can view the customer's medical history using a mobile number or ID.

3. *Tonic Discounts* offers exclusive offers on key health services at more than 200 popular clinics, hospitals, pharmacies and lifestyle outlets across Bangladesh. Via a quick SMS with a partner code, Tonic members can access care- and health-related services at a lower cost.
4. *Tonic Cash* provides members BDT 1000 (\$12) if the member is hospitalised for three consecutive nights or more, paid directly to the member's mobile banking wallet. Members can claim Tonic Cash up to four times a year (total BDT 4000 annually) and no medical issues are excluded. This cash benefit programme serves to mitigate financial risk for families as well as play a role in building credibility of insurance providers.

Tonic's business-to-business relationships: a double-edged sword?

For businesses, Telenor Health offers Tonic service bundles in various customised formats, depending on the specific client's requirements. Clients can have a dashboard to track the services used by their employees. New paid packages such as Tonic Astha and Tonic Shurokkha have been launched, which offer additional premium services such as access to renowned health specialists, appointment booking with doctors and discounted executive health check-ups. These paid subscription products require a monthly subscription fee ranging from around BDT 130 to 300.

Although Telenor Health utilises traditional channels of marketing to promote its brand, they also partner with pharmacies to create awareness among customers so that whenever customers come to purchase medication, they also receive the benefits of Tonic services. Telenor Health has continued to build relationships with different partners from the health industry, even competitors, such as health insurance providers and Doctoral, which is a doctor-appointment scheduling service provider. In Sajidur's view, there are no conflicts of interest with their partners and their partners benefit from increases in their customer bases: 'Health is a big problem in Bangladesh as well as globally. We don't think we can solve it alone. . . it's not possible for one company to solve the problem.'

Looking ahead: a mixed forecast

In 2018, *Fortune* listed Telenor in its fourth annual 'Change the World' list of companies for its work in bringing affordable healthcare to the mass market through Tonic. The strategic priority for Telenor Health is to design services that cater to an entire family rather than an individual only and become the healthcare

partner for the entire family. Personalisation of Tonic services is also on the agenda. For example, if a customer has diabetes, Tonic health records should allow delivery of customised information and assistance related to this disease. The use of artificial intelligence (AI) is also being considered to make efficiency improvements, for example, to reduce customer lead time, AI can be used to collect the initial data from the patient until a doctor becomes available through the Tonic helpline. International expansion to other Asian and African countries is also on the cards and Tonic's launch in Bangladesh is helping Telenor Health better understand the digital health services market.

Sajidur summarises the challenges that face Telenor Health in the Bangladeshi healthcare industry: 'Whenever you scale, maintaining the quality is important. We have to be meticulous about the clinical quality. . . free is going to be a big part of our strategy, but we will have to find a way to make it sustainable. . . there are not many large digital healthcare companies around the world because this is such a sensitive and difficult market to crack.' Therefore persuading customers to use digital health content and seek medical advice digitally remains a challenge.

An additional challenge for Telenor Health comes from within their organisation: their employee turnover. Telenor Health has grown their workforce rapidly since inception and their employees consist of diverse teams of managers, doctors and coders. Employee attrition can be expected in technological start-up companies. Start-up cultures are often viewed as environments that inspire employees to happily burn the midnight oil towards the achievement of lofty goals. However, research on 100 early-stage start-ups indicates that such cultural utopia diminishes for about 70 per cent of start-ups in their third or fourth year. Firms that monitor and address their cultural issues witness a rebound in their culture starting in years five and six. Telenor Health will need to place increasing focus on their internal culture as it continues in its quest to become the leading healthcare services brand in the country.

Questions for discussion

- 1 Discuss examples of the three product levels for Tonic digital health services.
 - 2 How do you think technology has helped Telenor Health manage the challenges associated with service characteristics such as intangibility, heterogeneity, perishability and inseparability?
 - 3 Explain with examples the extent to which physical evidence and process factors are important for Tonic services.
 - 4 How would you describe Tonic's brand positioning strategy? Provide examples of how Tonic is differentiating its services from those of competitors.
 - 5 Using the service profit chain perspective, recommend steps that Telenor Health can take to reduce employee turnover and revitalise their company culture.
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